



K. GANESH
SERIAL ENTREPRENEUR
AND INVESTOR

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SATISH MEENA
PRINCIPAL ANALYST,
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“IT WILL TAKE A LOT FOR INVESTORS TO DEAL WITH THE ISSUES AROUND THE AAKASH LITIGATION... BYJU’S WILL EASILY NEED TO RAISE \$1-1.5 BILLION OVER THE NEXT 6-12 MONTHS”

Meanwhile, Blackstone and the Chaudhrys refused to trade their stakes in Aakash for shares in Byju’s, and Kempner has sent a legal notice to Aakash, asserting its right to Aakash shares pledged as collateral.

Since then, Byju’s has also issued a notice to Aakash’s founders, demanding the transfer of shares. The issue could be a barrier to a potential deal that Byju’s needs. Byju’s sees Aakash as its trump card and had planned an IPO in mid-2024 but has been stumped by this legal maze. But Byju’s has a Plan B for Aakash: it has spoken to Manipal group Chairman

Ranjan Pai to offload a part of Raveendran’s stake to net around \$80 million, with which it can repay part of the Davidson Kempner loan.

Questioning the “over-the-top valuations and very convoluted shareholding structures”, Subramanian points to the Aakash deal. “Raveendran has a personal stake. Which board allows that? The whole thing has been fuelled by a mad chase for valuations in an era of readily available capital.”

THE WAY FORWARD

K. Ganesh, serial entrepreneur and promoter of BigBasket, Portea Medical and HomeLane, says there is value left in Byju’s. “The founders need to accept that \$22 billion was in euphoric times. Through recapitalisation, existing investors will have to take a haircut, but the priority is to get money into the company, correct all mistakes and rebuild the business,” he says. “We are all rooting for Byju’s to come out of this and succeed as the bellwether in edtech.”

As a core education provider using technology, Byju’s and its group companies still have value. Ganesh feels Byju’s can raise money against its assets, but nowhere near the \$22-billion valuation.

But if Byju’s succeeds in raising money against these assets (Aakash, Great Learning and Byju’s itself), the existing investors will be wiped out unless they take a haircut and participate. Those privy to discussions say the focus will be on profitability and not valuation, making it similar to what one saw at WeWork.

Bringing in T.V. Mohandas Pai, former CFO of Infosys, and Rajnish Kumar, former chairman of State Bank of India, into a newly created board advisory council are steps in that direction, says Ganesh.

Mukul Gulati, Managing Partner at Zephyr Peacock, which provides equity capital for small and medium enterprises, says profitability must be the first priority to establish confidence among investors. “For companies where there are perceived governance problems, where questions have been raised around real business models, or where profitability is not established, two things could happen—the companies will either not go public despite the promises they make, or if they do, the stock price performance is going to be disappointing.”

Another investor says, “Byju’s needs a fundamental reset... Have a full understanding of where the cash is coming from and where it is bleeding. Come out with a singular aligned vision of what you want to be as a company and let go of everything that doesn’t align with that vision. Be brutal. You may not get back to a \$22-billion valuation, but there is a chance of getting out of this mess and maybe return everyone’s capital.”